NOTE 8 — INCOME TAXES

The components of the provision for income taxes are as follows:

	Year Ended Fiscal March		
	2008	2007	2006
	(Dollars in thousands)		
Currently payable –			
Federal	$12,125	$10,542	$13,754
State	835	1,056	1,192
	12,960	11,598	14,946
Deferred –			
Federal	(1,248)	913	(695)
State	(20)	(97)	(111)
	(1,268)	816	(806)
Total	$11,692	$12,414	$14,140

Deferred tax (liabilities) assets consist of the following:

	March 29, 2008	March 31, 2007	March 25, 2006
	(Dollars in thousands)		
Goodwill	$ (2,384)	$ (1,377)	$ (1,036)
Pension	(1,231)	(997)	(1,924)
Prepaid expenses	(839)	(624)	(731)
Property and equipment	(168)	(2,830)	(4,183)
Other	(136)	(124)	(104)
Total deferred tax liabilities	(4,758)	(5,952)	(7,978)
Insurance reserves	2,384	1,949	1,480
Deferred rent	2,363	2,593	2,961
Stock options	1,742	1,157	932
Warranty and other reserves	1,422	1,679	1,560
Accrued vacation	744	684	494
Indirect effect of unrecognized tax benefits in other jurisdictions	729		
Inventory capitalization	367	566	694
Other	2,023	1,360	914
Subtotal deferred tax assets	11,774	9,988	9,035
Valuation allowance		(78)	
Total deferred tax assets	11,774	9,910	9,035
Net deferred tax assets	$ 7,016	$ 3,958	$ 1,057

The Company has $.9 of state net operating loss carryforwards available as of March 29, 2008. The carryforwards expire in varying amounts through 2028.

Based on all available evidence, the Company has determined that sufficient taxable income of the appropriate character within the carryforward period will exist for the realization of the tax benefits on existing state net operating loss carryforwards.

Therefore, the Company has determined that the previously recorded valuation allowance is no longer required as of March 29, 2008.

The Company believes it is more likely than not that all other future tax benefits will be realized as a result of current and future income.

A reconciliation between the U.S. Federal statutory tax rate and the effective tax rate reflected in the accompanying financial statements is as follows:

	Year Ended Fiscal March					
	2008		2007		2006	
	Amount	Percent	Amount	Percent	Amount	Percent
	(Dollars in thousands)					
Federal income tax based on statutory tax rate applied to income before taxes	$11,765	35.0	$12,140	35.0	$12,882	35.0
State income tax, net of federal income tax benefit	541	1.6	623	1.8	703	1.9
Other	(614)	(1.8)	(349)	(1.0)	555	1.5
	$11,692	34.8	$12,414	35.8	$14,140	38.4

The Company adopted FASB Interpretation No. 48, “Accounting for Uncertainty in Income Taxes — an Interpretation of FASB Statement No. 109” (“FIN 48”) on April 1, 2007. The interpretation clarifies the accounting for uncertainty in income taxes recognized in a company’s financial statements in accordance with Statement of Financial Accounting Standards No. 109, “Accounting for Income Taxes”. Specifically, the pronouncement prescribes a recognition threshold and a measurement attribute for the financial statement recognition and measurement of a tax position taken or expected to be taken in a tax return. The interpretation also provides guidance on the related derecognition, classification, interest and penalties, accounting for interim periods, disclosure and transition of uncertain tax positions. The cumulative effect of adopting FIN 48 of $1.6 million was recorded as a reduction to retained earnings.

The following is a rollforward of the Company’s liability for income taxes associated with unrecognized tax benefits:

	(Dollars in thousands)
Balance at April 1, 2007	$ 2,796
Tax positions related to current year:	
Additions	1,109
Reductions	
Tax positions related to prior years:	
Additions	280
Reductions	
Settlements	
Lapses in statutes of limitations	(315)
Balance at March 29, 2008	$ 3,870

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The total amount of unrecognized tax benefits were $3.9 million at March 29, 2008, the majority of which, if recognized, would affect the effective tax rate.

The Company historically had classified unrecognized tax benefits in current taxes payable. As a result of adoption of FIN 48, unrecognized tax benefits were primarily reclassified to long-term income taxes payable.

The Company's policy to include interest and penalties related to unrecognized tax benefits within the provision for taxes on the consolidated condensed statement of income did not change as a result of implementing the provisions of FIN 48. As of the date of adoption of FIN 48, the Company had accrued $.3 million for the payment of interest and penalties relating to unrecognized tax benefits.

In the normal course of business, the Company provides for uncertain tax positions and the related interest, and adjusts its unrecognized tax benefits and accrued interest accordingly. During fiscal 2008, unrecognized tax benefits relating to accrued interest and penalties increased by $.1 million.

The Company is currently under audit by certain state tax jurisdictions for the fiscal 2001 to 2006 tax years. It is reasonably possible that the examination phase of the audits for these years may conclude in the next 12 months, and that the related unrecognized tax benefits for tax positions taken regarding previously filed tax returns may change from those recorded as liabilities for uncertain tax positions in the Company's financial statements as of March 29, 2008. However, based on the status of the examinations, it is not possible to estimate the effect of any amount of such change to previously recorded uncertain tax positions.

The Company files U.S. federal income tax returns and income tax returns in various state jurisdictions. The Company's fiscal 2005 through fiscal 2007 U.S. federal tax years and various state tax years remain subject to income tax examinations by tax authorities.